

 Masterclass Day 16

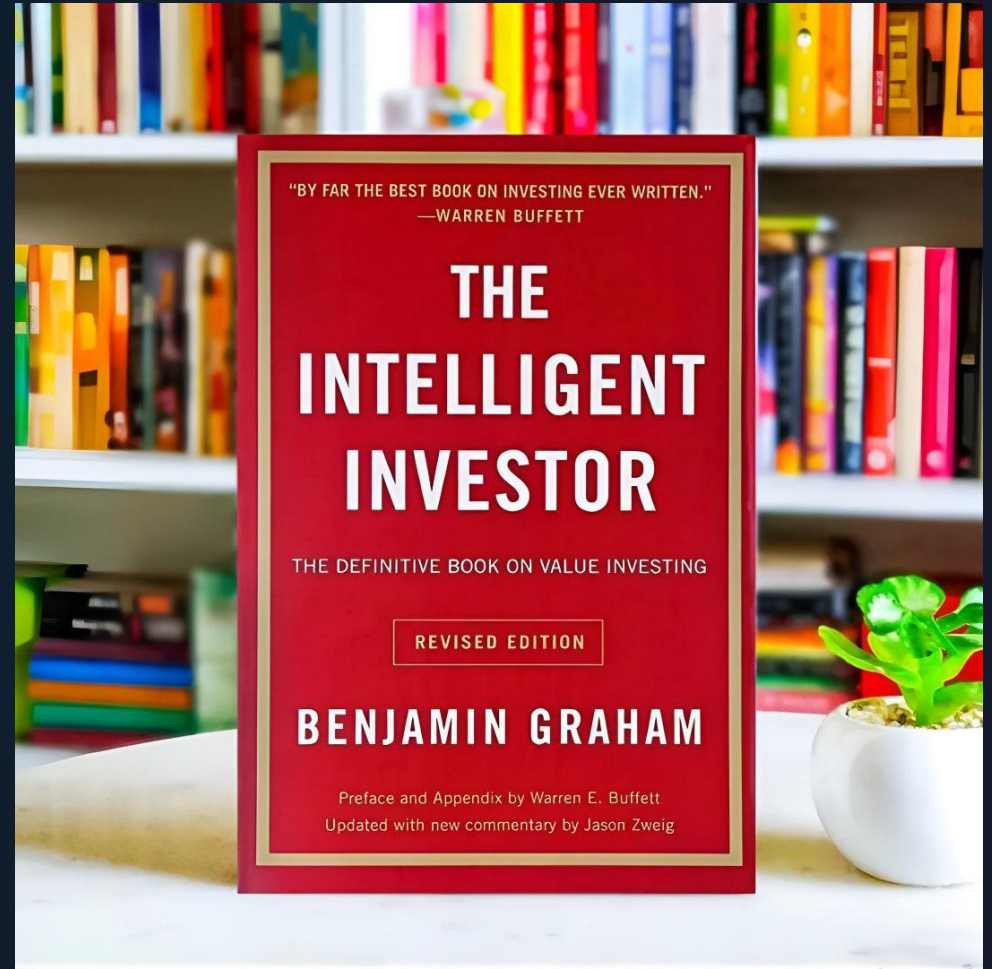
The Art of Value Investing

Buying dollar bills for fifty cents: The philosophy of legendary wealth builders.

The Godfather: Benjamin Graham

Benjamin Graham is universally recognized as the father of value investing and the mentor to Warren Buffett.

- » **The Intelligent Investor:** His foundational books changed Wall Street forever by separating speculation from true investing.
- » **Mr. Market Metaphor:** Graham taught that the market is a manic-depressive partner who offers you daily prices that you can either accept or ignore.
- » **Core Doctrine:** Always demand a gap between price and value.



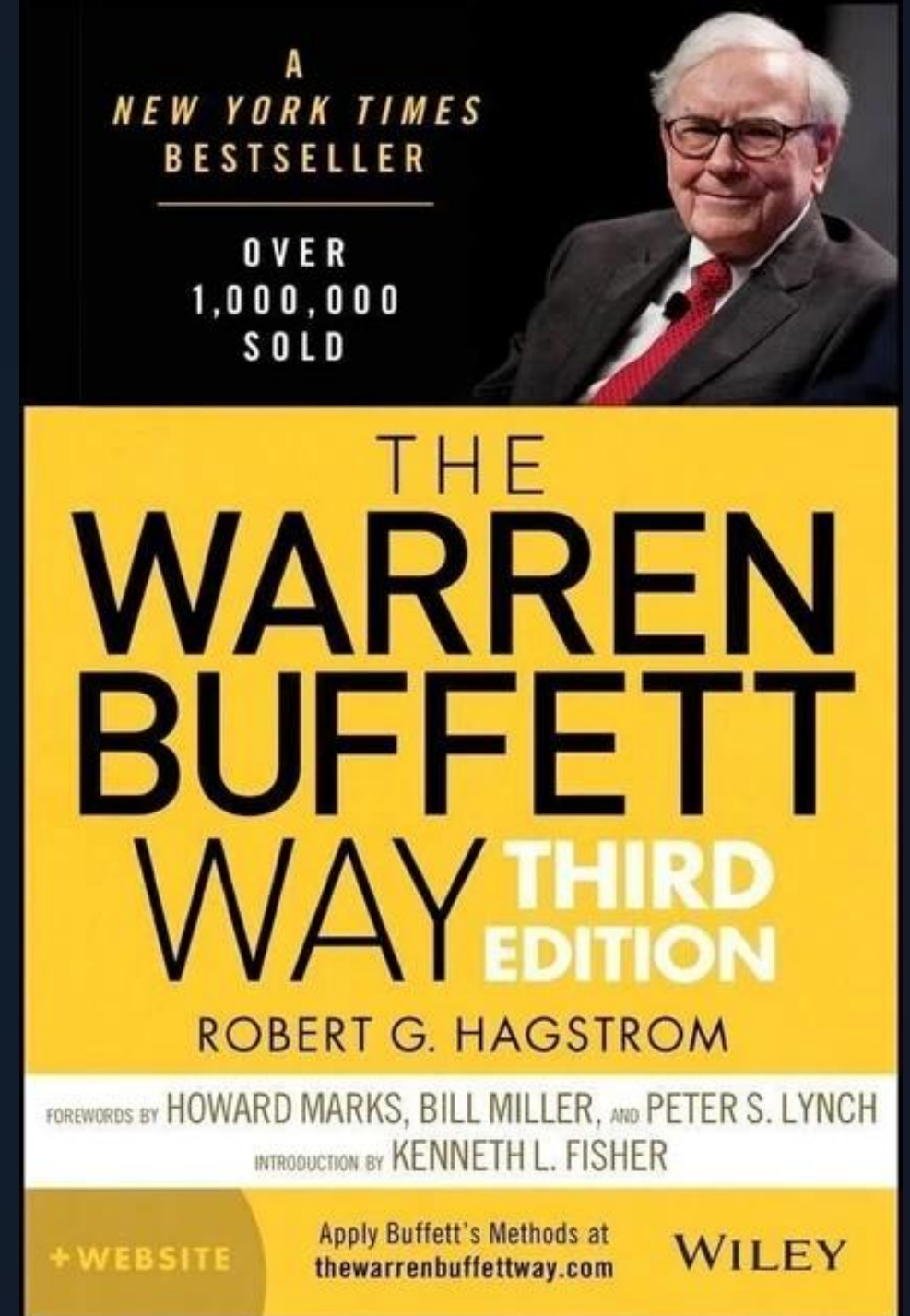
The Oracle:

Warren Buffett

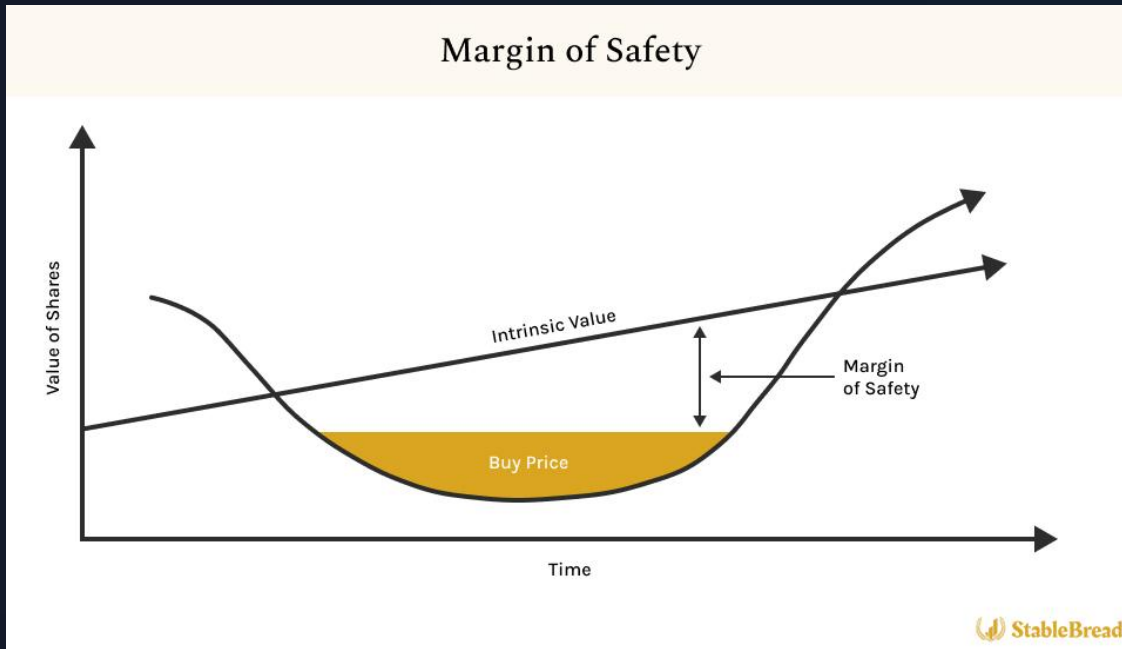
Warren Buffett took Graham's principles and evolved them by combining deep quantitative analysis with high-quality business moats.

Wonderful Companies at Fair Prices: Buffett famously noted that it's far better to buy a wonderful business at a fair price than a fair business at a wonderful price.

Long-Term Horizon: "Our favorite holding period is forever." Patience is the ultimate competitive advantage for the retail investor.



The Ultimate Shield: **Margin of Safety**



Never Pay Full Price

The Margin of Safety is the difference between a stock's estimated intrinsic value and its market price.

- » **Human Fallibility:** We cannot predict the future with 100% certainty. Our financial models can be wrong.
- » **The Buffer:** By buying only when a stock is trading at a 30-40% discount to its true value, you protect yourself against mistakes, bad luck, or sudden recessions.

It turns a risky gamble into a sound, calculated investment.

The True Worth: **Intrinsic Value**

Price vs. Value

As Warren Buffett famously said: *"Price is what you pay. Value is what you get."*

The market price of a stock changes every second based on human emotion, fear, and hype. Intrinsic value, however, is a hard economic reality.

How to Calculate It

Intrinsic value is the **present value of all future cash flows** that a business will generate throughout its entire lifetime, discounted back to today's money.

Mastering this calculation allows you to spot when the crowd is panicking and selling high-quality assets for pennies on the dollar.

Great Job on Day 16!

Tomorrow: Day 17 - Growth Investing.

Don't forget to Like, Share, and Subscribe!

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